GMS WEEKLY

Your Source for Recycling News

February 21st, 2025
Week 8
Volume 269, Issue 1173

Highlights:

- **Markets deprived.**
- **Panamax surge.**
- **January sales.**
- **Pak back.**
- **Bangla upgrades.**
- **Scan to download / view the Weekly on the GMS App!**

QUOTE of the WEEK

"Once you've accepted your flaws, no one can use them against you."

– George R. R. Martin

-- MARKET COMMENTARY --

FREIGHT FRUSTRATES!

A recent and ongoing uptick in freight rates across many sectors (especially dry, as wet rates have been performing far admirably in comparison) has resumed depriving global ship recycling markets of tonnage over the last couple of weeks and this has promptly manifested itself at the various sub-continent waterfronts this week in both India and even Pakistan that has now returned to an empty port position once again, resulting in a quieter time of late. Even the struggling Panamax sector saw a bounce in rates this week with owners of vintage 90s-built units seemingly managing to fix their vessels out yet again, eking out the ongoing remnants of earnings before their already life-extended assets eventually head for recycling. Whilst January saw a plethora of sales from the Panamax bulker and LNG sectors before the inevitable slowdown over Chinese New Year holidays and the release of Trump's tariffs both of which delivered a fresh serving of market volatility, as further tariffs reportedly still remain in the works.

Speaking of tariffs, while the ones already implemented have kept the oil markets subdued of late, those tariffs still in the pipeline have pulled the barrel back closer to USD 70/barrel this week, as recent sanctions coupled with growing U.S. oil reserves could continue to see the barrel buoying around the early USD 70s in the near future. Whilst global economies adjust around these unfolding market dynamics, key fundamentals continue to see their shares of volatility given that local steel plate prices are either vacationing / laying horizontal in key markets while registering declines in others, and the U.S. Dollar, which remains of key concern for ship recycling nation currencies, which continue to decline whilst others struggle to re-adjust / likely to lose further ground.

As a result, ship recycling markets offerings have fallen by up to USD 30/LDT over the first month of the year and while further pressures on key drivers seem to have been working in unison to pull recycling offers further down, the lack of tonnage has seemingly found a price floor around USD 450/LDT despite indications far below on certain units are easily forthcoming. Now that workable and firm candidates are drying up, the ever-present hunger to buy might return in the final month of Q1 2025 as we have even seen Pakistan come back into the picture of late, securing a smaller LDT unit after a significant period on the sidelines. But it remains too little too late for a market that has seen just one arrival at the nation's waterfront since Qct 2024. Moreover, despite Bangladeshi ship recyclers picking up the pace on respective facility and infrastructure upgrades, with the HKC finally entering into force by July of this year and urgent / pending yard upgrades are still needed in Chattogram and especially in Gadani, to ensure compliance with the convention now that a potentially bumper few years of tonnage supply and deal making lie ahead. As Alang buyers note the increasing presence of the Gadani Gang trying to take a bite out of their tonnage buffet at the bidding tables, they remain the epicenter of ship recycling West of Bangladesh with nearly all yards ready to operate post July 1 and business being as usual thereafter. Finally, Turkey continues to dissolve into its economic uncertainty as no meaningful market news has been forthcoming other than the steady descent of the Lira to where it is gradually approaching to half the value of the Indian Rupee. Times are changing.

GMS demo rankings / pricing for week 8 of 2025 are on Page 5.

BANGLADESH

REALIZING REDUCTIONS!

Coping.

Having endured an impressively active & busy start to the year by absorbing nearly all of the tonnage that has emanated from the Far East, January has certainly helped Chattogram stay busy through recent times, which have certainly been the most trying since 2008. And while external factors remain responsible for the supply of tonnage, massive internal problems still ongoing have left the domestic ship recycling sector in a state of stasis across much of Q3 - Q4 2024; a time that looks like it may be returning once again now that freight rates are firming are on the rise now.

Work underway.

For domestic, and a majority of now satiated ship recycling yards that have been busy taking in a bulk of Far Eastern deliveries, has continued even this week where over 52K LDT and 7 vessels are at anchorage / being delivered to their new owners. Ironically, the rate of recent deliveries seems to outline a budding indicator of the positive movement of recycled ship's steel from Chattogram ship recycling yards that continue to trade with local steel mills at a level that has flatlined the one of longest in the industry since October 2024, albeit a relatively healthier (than local offers on ships) USD 529.41/Ton. As steel trade resumes amidst domestic infrastructure projects that remain hanging in the balance, the spate of recent deliveries is expected to keep local ship recyclers busy well into Q2 before seeing their return to the bidding tables just prior to Bangladesh's budget, which is expected around June of 2025. And although this should buy some time for domestic businesses to prepare for the eventual FY 25 – F26 budget, it also afford them the time to initiate yard upgrades in the interim.

Coping.

Purchasing abilities of local recyclers has left them atop the recycling market rankings as Chattogram Choppers continue to table the best levels and some even higher than prevailing figures, especially if a particular unit of interest comes to the fore. But it has been the Taka that has delivered the most downward pressure on recycling offers as it nearly breached BDT 122 once again this week, only to firm up towards the end of the week and **still** end it 20 basis points weaker at BDT 121.53. And although personal incoming U.S. Dollar remittances from overseas to families saw a healthy amount added to their national reserves, the economic condition of the nation state remains far from healthy as stresses from the lack of economic reform are eroding profits from local industries and the private sector, and the 6 month report sheet of the interim government has resulted in a growing economic fragility of the future for the country for the rest of 2025.

Further headwinds.

At the recycling end, this pressure remains tantamount as most yards have yet to initiate upgrades to their facilities to HKC standards after the BSBRA extended the deadline to commence works from January 31st to March 31st and failure to react in time could see even the nation's ship recycling sector face further headwinds and likely see Bangladesh lose to India for the top spot. For now however, this market continues to bask in glory of dominating the tonnage inflow from the East whilst its price differential with neighboring competitors stands less than the delivery cost further West…primarily on smaller LDT units.

NO MARKET SALES REPORTED

INDIA

SHORT SHARP SHOCK!

Tariff panic – ironic?

Like the rest of the world, India has not been immune to varying crises and tariff shocks that have sent ship recycling economies into a freefall, as Alang recyclers themselves continue to constantly adjusting to the varying degrees of supply amidst disastrous fundamentals despite which, has driven Alang buyers to maintain second place in the market rankings. And through the smorgasbord of the craziness of current time, the nation's recycling waterfront stands on the edge of an empty port position with just one vessel reported to have arrived anchorage this week, albeit a couple of vessels are currently lying in wait awaiting inward permissions, including a reportedly sanctioned tanker.

Modi moves.

At the broader end of things, the Rupee remains the most disastrous of entities for Alang recyclers as it nearly breached INR 87 against the U.S. Dollar, only to settle the week unchanged from last at Rs 86.60. And while local recyclers went into a tailspin over PM Trump's raft of tariffs introduced last week including a healthy 25% on Chinese steel and aluminum products, Chinese steel plate prices have continued to flatline over the last few weeks and that too at levels far below those from India, resulting in Indian steel plate prices dipping even further this week by a couple of Dollars, totaling a near USD 15/Ton decline over the last 3 weeks. As the only sub-continent destination to face declines in both fundamentals, the pressure on local pricing has been the most imminent at the bidding tables, as Alang buyers conservatively approach available tonnage as it starts to dissipate once again.

While PM Modi was in the U.S. to welcome Trump into his second term in office and discussions pertaining to his administrations Indian outlook were reportedly tabled, pending tariffs still in the pipeline could see some of the highest tariffs in the world on products imported from India, amidst an already reported decline in exports for the first time!

No malaise.

Overall, even though Alang remains competitive (even with Bangladesh for certain units) at the bidding tables and for the time being, an increasingly eager Pakistan and the ongoing downturn in Alang offerings since the start of this year does seem like the present may not merely be a short sharp shock to the system rather than a prolonged malaise that many are now fearing.

NO MARKET SALES REPORTED

PAKISTAN

Is it time?!

Not far behind.

The Pakistani market has been and will continue to remain one of the most confusing markets to peg down given that local buyers are clearly not (and truly never have) followed the direction of domestic fundamentals in determining just how to remediate local pricing, choosing instead to follow the direction of offerings from competing neighbors, and this has helped them set a price ceiling is already well below the **capacity** of what Gadani ship recyclers can table, but what remains in question is their **capability** given that they are and have been the lowest placed at the bottom of the market rankings while simultaneously struggling to secure any tonnage, as a result of.

Tough last few years.

To start, when compared to global recycling destinations, the Pakistani Rupee has displayed the greatest stability against the U.S. Dollar as it has stayed between PKR 277 – PKR 280 over the last 4 quarters including this week, where despite losing 22 basis points, it still ended the week at USD 279.48. Simultaneously, local steel plate prices remain the highest in the industry at USD 643.78 although having flatlined the next longest. While this in itself, should more than justify a healthier level of offerings at the bidding tables from the Gadani gang, they have in fact, barely managed to improve their levels in any positive direction over recent quarters.

And although competing (and simultaneously flatlined) Chinese plate prices have stalled at a far more competitive level near USD 300/Ton, this has invariably helped domestic steel mills stay afloat with far cheaper imports. So why then is this market still not re-adjusting to the influx, just to keep the net return on its only delivery of 2025 in the green or even for those that still are / will be in the pipeline? As uncertain as this question remains, Pakistan remains fairly close behind their Indian sub-continent competitors in pricing amidst a return of tonnage scarcity that has seen Gadani's anchorage return to an empty one.

IMF downgrade.

The domestic economy remains of primary concern and although international remittances by families has helped maintain a degree of equilibrium in the nation's treasury reserves, the IMF has downgraded Pakistan's forecast for 2025 citing ongoing governmental irregularities and reported mismanagement of funds, including the fear of the army taking on an larger role in the nation's governmental and economic affairs, leaving the question just as to when it will be before Pakistan's ship recycling sector is able to get back in business at the bidding tables vessels with a degree of regularity.

Frustrations build.

As it has been a tough few years on the sidelines for the Paksitani market, buying minimal vessels and still far from initiating meaningful yard upgrades in order to become HKC compliant ahead of the official HKC entry into force in June this year (meaning non-compliant yards will not be able to import any tonnage from July 1st), frustrations at the bidding tables are starting to build up at losing so many vessels to India and Bangladesh since the start of this year and this fervor could be a good thing for Pakistan moving forward, as long as the Gadani Gang positively uses this momentum.

NO MARKET SALES REPORTED

TURKEY

DUKES OF HAZZARD!

Aliaga recyclers have been hemorrhaging the worst of the ship recycling world since 2023 on the back of crashing economic fundamentals, a bevy of ship recycling regulations imposed by the EU, weakening import and local steel plate prices, a Lira that has declined nearly 492% against the U.S. Dollar over the last five years (nearly a 1,355% decline if you go back a decade), a shortage of tonnage over the last 13 months, and save for the heady days of cruise vessels that once lined the shores of Aliaga, a near absence of market fixtures that has reportedly left some local buyers having to temporarily shutter their yards while the bigger names have reportedly survived by negotiating off-market smaller LDT tonnage emanating from regional waters.

1,355% decline.

And like last week, the Dukes of Hazzard have nothing to report this week as well, as another silent week / month / Quarter comes to an end.

NO MARKET SALES REPORTED

GMS Weekly – Market Rankings

For Week 8 of 2025, GMS Market Rankings / vessel indications are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	**Stable**	440 / LDT	460 / LDT	470 / LDT
2	India	**Stable**	435 / LDT	455 / LDT	465 / LDT
3	Pakistan	**Stable**	430 / LDT	450 / LDT	460 / LDT
4	Turkey	**Weak**	280 / LDT	290 / LDT	300 / LDT

ODD ONES.

- *Only about a third of the countries in the United Nations have ever had a female head of the government. Just 13 of the body's 193 member countries are currently led by women, according to the Pew Research Center.*
- *Noise from fireworks can reach levels as high as 160 decibels or more. That's louder than a jet plane taking off from 100 yards away or a jackhammer.*
- *When Lucille Ball became pregnant while filming "I Love Lucy" in the 1950s, she couldn't actually say the word "pregnant" on television.*
- *At 5,525 miles, the border separating the United States and Canada is the longest between any two countries.*
- *The median Black family in the United States possesses about 15 percent of the wealth owned by the median white family.*
- *Invented by the Parisian organ-maker Auguste Mustel in 1886, the celesta is a transposing instrument, meaning that its pitch is always an octave higher than the notes on the page.*
- *Through its 149th and final show, Taylor Swift's Eras Tour sold more than $2 billion in tickets — double the gross ticket sales of any other concert tour in history.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**DELIVERY TIDES**
February 26 – Maha Shivratri March 14 - Holi March 28 – Jamat-ul-Wida March 30 – Gudi Padwa March 31 – Eid-ul-Fitr	February 26 – March 05 March 13 – March 18 March 27 – April 05

BANGLADESH	
BANK HOLIDAYS	**DELIVERY TIDES**
March 26 – Independence & National Day March 28 – Shab-e-Qadr March 29 – April 02 – Eid-ul-Fitr	February 28 – March 03 March 14 – March 17 March 29 – April 01

BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays until April	March 23 – Pakistan Day March 30 – April 04 -Eid-Ul-Fitr	March 29 – April 03 – Ramzan Bayrami

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ALANG - Port Position as of February 21, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Jabal Ali 7	7,128	RoRo	*Delivered February 18*
Total Tonnage		**7,128**		

CHATTOGRAM - Port Position as of February 21, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
1	East Pioneer	10,891	Bulk Carrier	Arrived February 04
2	*Ever Feng*	*1,745*	*Tanker*	*Delivered February 18*
3	Generalis	3,311	General Cargo	Arrived February 13
4	Lakatamia	10,082	Tanker	Arrived February 15
5	*Rong Yuan*	*9,165*	*Bulk Carrier*	*Delivered February 18*
6	Three Star	7,627	Bulk Carrier	Arrived January 23
7	Wang	9,614	Bulk Carrier	Arrived February 20
		52,434		

GADANI - Port Position as of February 21, 2025

No.	VESSEL NAME	LDT	TYPE	STATUS
		No vessels reported.		
Total Tonnage		**-**		

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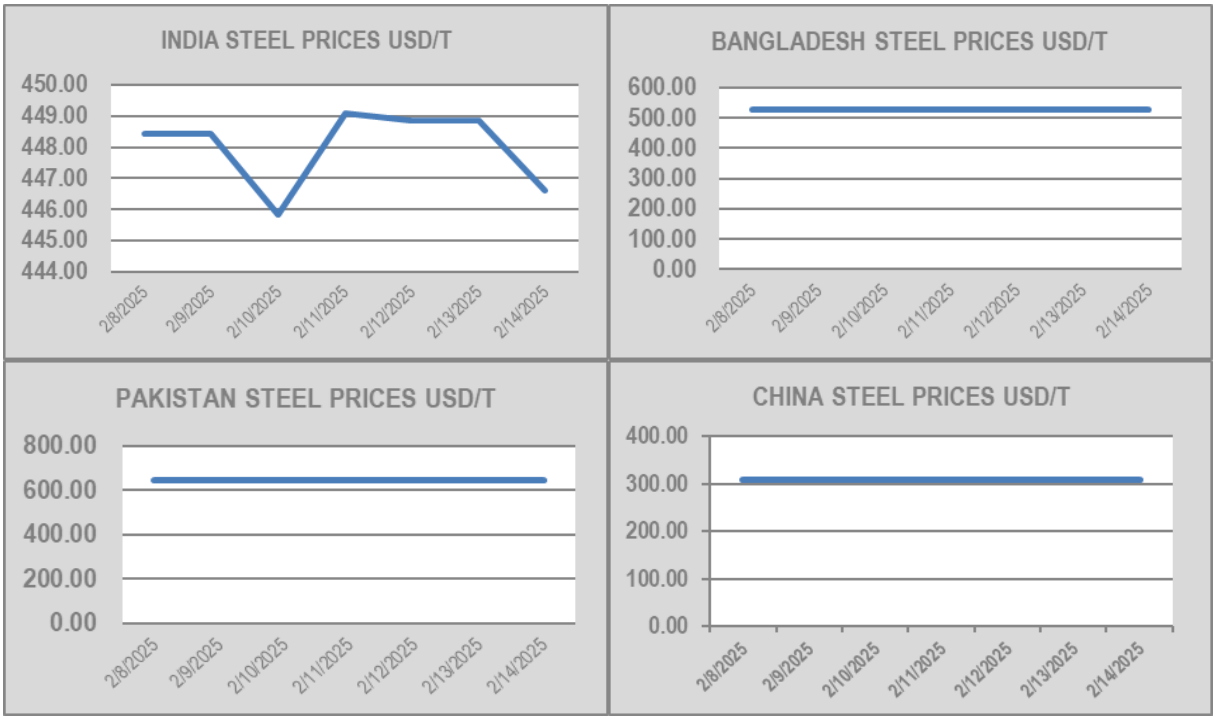
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
2/8/2025	448.41	39,200.00	643.78	180,000.00	529.41	63,000.00	308.13
2/9/2025	448.41	39,200.00	643.78	180,000.00	529.41	63,000.00	308.13
2/10/2025	445.82	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/11/2025	449.10	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/12/2025	448.84	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/13/2025	448.84	39,000.00	643.78	180,000.00	529.41	63,000.00	308.13
2/14/2025	446.59	38,800.00	643.78	180,000.00	529.41	63,000.00	308.13



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